STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

BNP Paribas

Euronext Paris: BNP · Financials / Banks · France

A 13% return on tangible equity at 0.9x tangible book: the French discount has gone too far

OVERWEIGHT	€103.7	€87.65	+18%
Rating	Base-case value	Price, 29 Oct 2026	Upside, 12 months

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

THE CALL

Overweight: the bank beats its targets, the price pays for French risk

OUR CALL

OVERWEIGHT

Target	€103.7
Price	€87.65
Upside	+18%
Horizon	12 months
Conviction	Medium

1

Returns ahead of target

9M 2026 RoTE beats the 12% target; 2028 target above 13%.

13.2%

RoTE, 9M 2026

2

A sovereign discount, not a bank one

Shares fell ~20% in three months as French yields rose, with no company-specific news.

0.9x

price / tangible book

3

Capital comes back

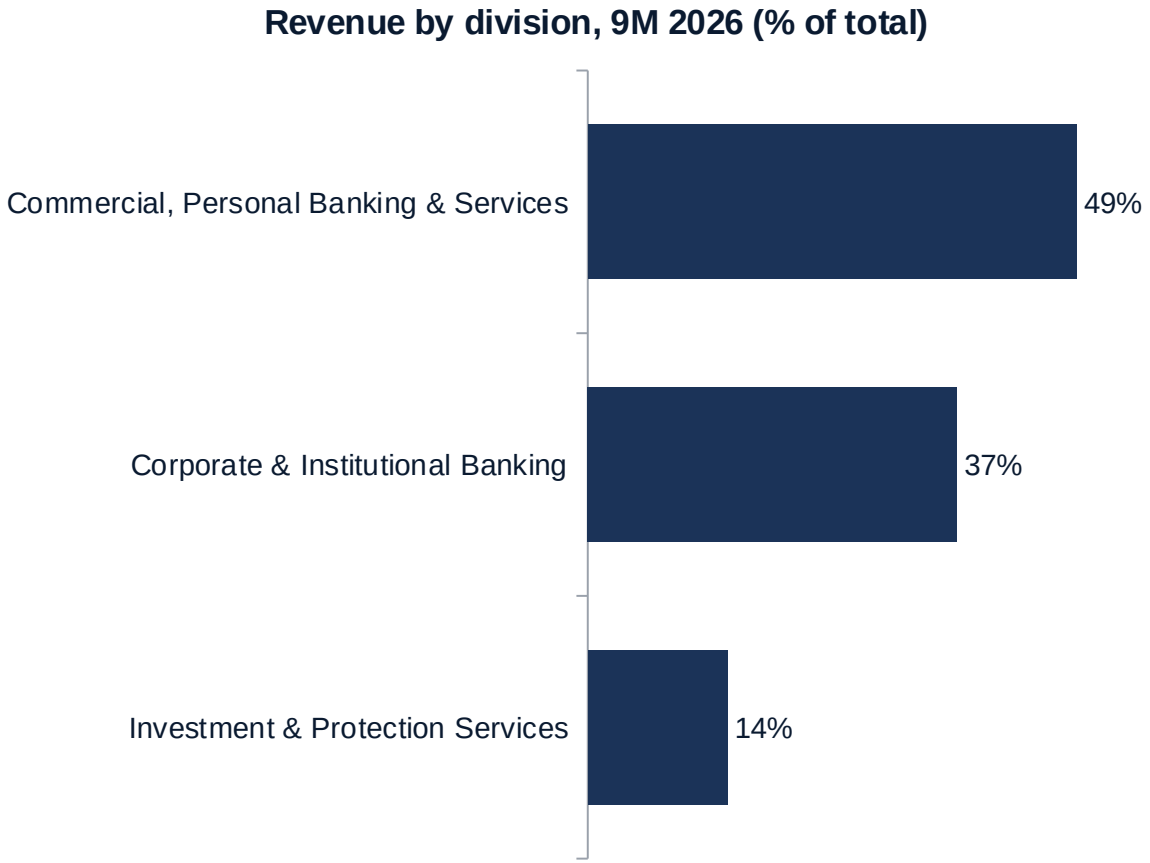
60% payout, €1.3bn buyback from November, CET1 above 13% distributed from 2027.

~7%

2026e dividend yield

Source: BNP Paribas Q3 2026 results release (28 Oct 2026); URD 2025; price data third-party (29 Oct 2026).

A diversified universal bank: half of revenue from retail, a third from CIB



Retail and services (CPBS)

France, Belgium, Italy, Luxembourg, Personal Finance and Arval (car leasing, Athlon added in July 2026).

Corporate & Institutional Banking

The leading EMEA investment bank: Global Markets, Global Banking, Securities Services.

Capital

CET1 12.9% at Sept 2026 against a 10.45% requirement; above 13% guided for end-2026.

Source: BNP Paribas Q3 2026 results release; revenue split from the 9M 2026 divisional results.

The stock trades with French bonds, not with its own results

~4.9%

French 10-year yield

Budget and political risk lifted French yields in 2026.

~155 bp

OAT-Bund spread

A wider spread raises funding costs and the discount on French banks.

€19bn

French government bonds held

€16bn at amortised cost: price moves do not hit capital.

39 bp

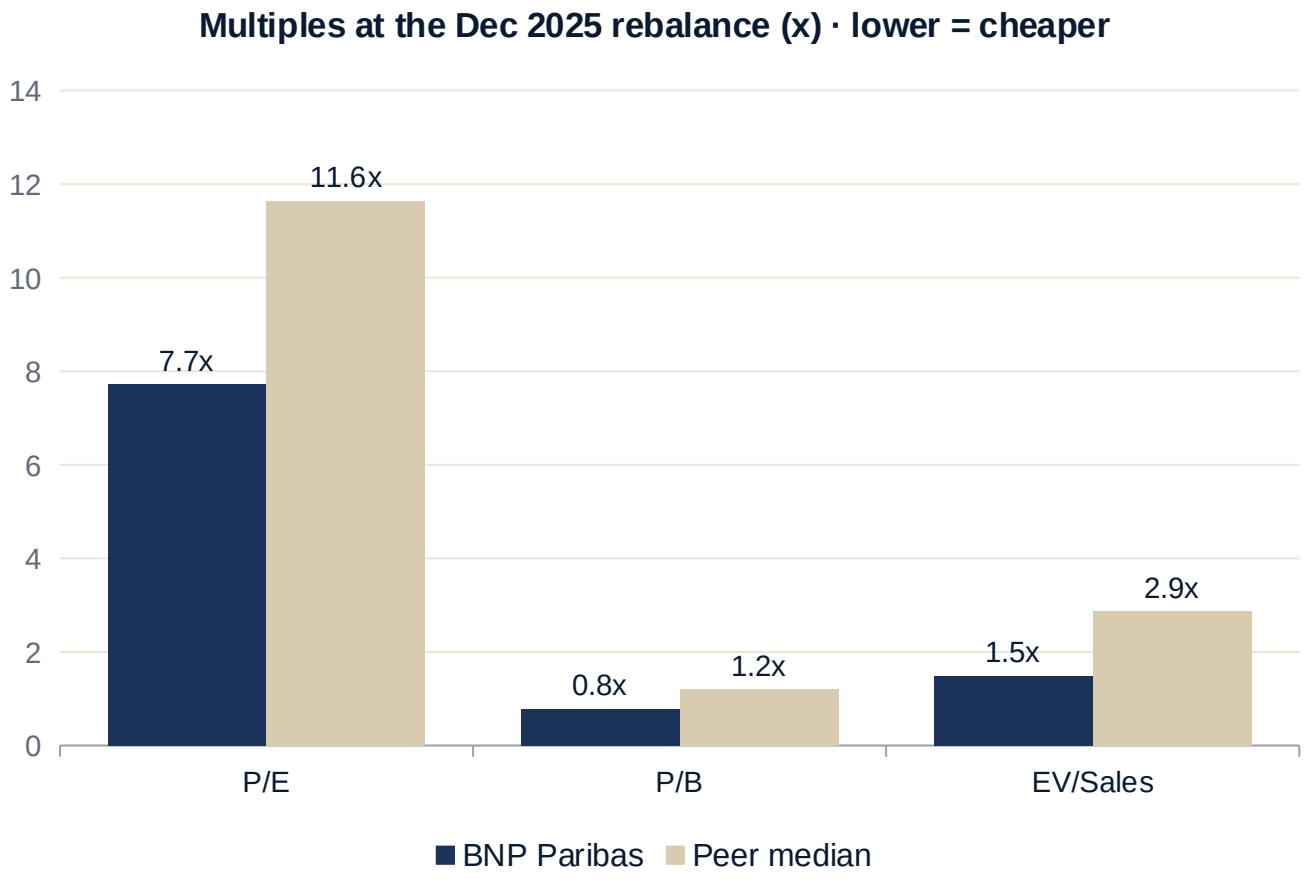
Cost of risk, Q3 2026

Top of the <40 bp guide; Arval used-car prices are the pressure point.

Source: BNP Paribas Q3 2026 release and investor materials; market levels third-party (Oct 2026).

WHY THE SCREEN PICKED IT

Ranked 5 of 203 financials: half the peer P/E and two-thirds of the peer P/B



5 / 203

Value rank in its sector

Banks are scored on book-to-price and earnings-to-price only.

1 / 10

Rebalances held (since Dec 2025)

H1 2026 return +26.2% vs +10.8% for MSCI World.

Core + satellite

In the 70/30 value strategy

France is an ETF core line; BNP is one of the 8 satellite stocks (June 2026).

Source: Thoth Ledger stock screen, Bloomberg data (FY to 2024-12, used with a 6-month lag); peers = same GICS industry group.

VARIANT PERCEPTION

The market prices BNP as a French bond; the earnings say otherwise

THE MARKET SAYS	WE SAY
“BNP is a leveraged bet on France.”	Three of four retail home markets are outside France; CIB and insurance diversify earnings.
“Trading revenue is at a peak.”	Global Markets grew 21.9% in Q3, but the RoTE target is beaten even after €408m of restructuring costs.
“The Sudan litigation is an open-ended liability.”	Real and unprovisioned: a tail risk we size, not a reason to stay away. The appeal (2027) will clarify.

FINANCIALS

Profitability above plan, capital above requirement

	FY2024	FY2025	9M 2026	2026 target
Revenues (NBI)	€48.8bn	€51.2bn	€41.9bn	>5% CAGR
Net income, group share	€11.7bn	€12.2bn	€11.0bn	>7% CAGR
RoTE	**—**	**11.6%**	**13.2%**	**~12%**
Cost / income	—	61.2%	59.0%	~60%
CET1 ratio	—	12.6%	12.9%	>13%
Tangible book / share	—	€93.50	—	—

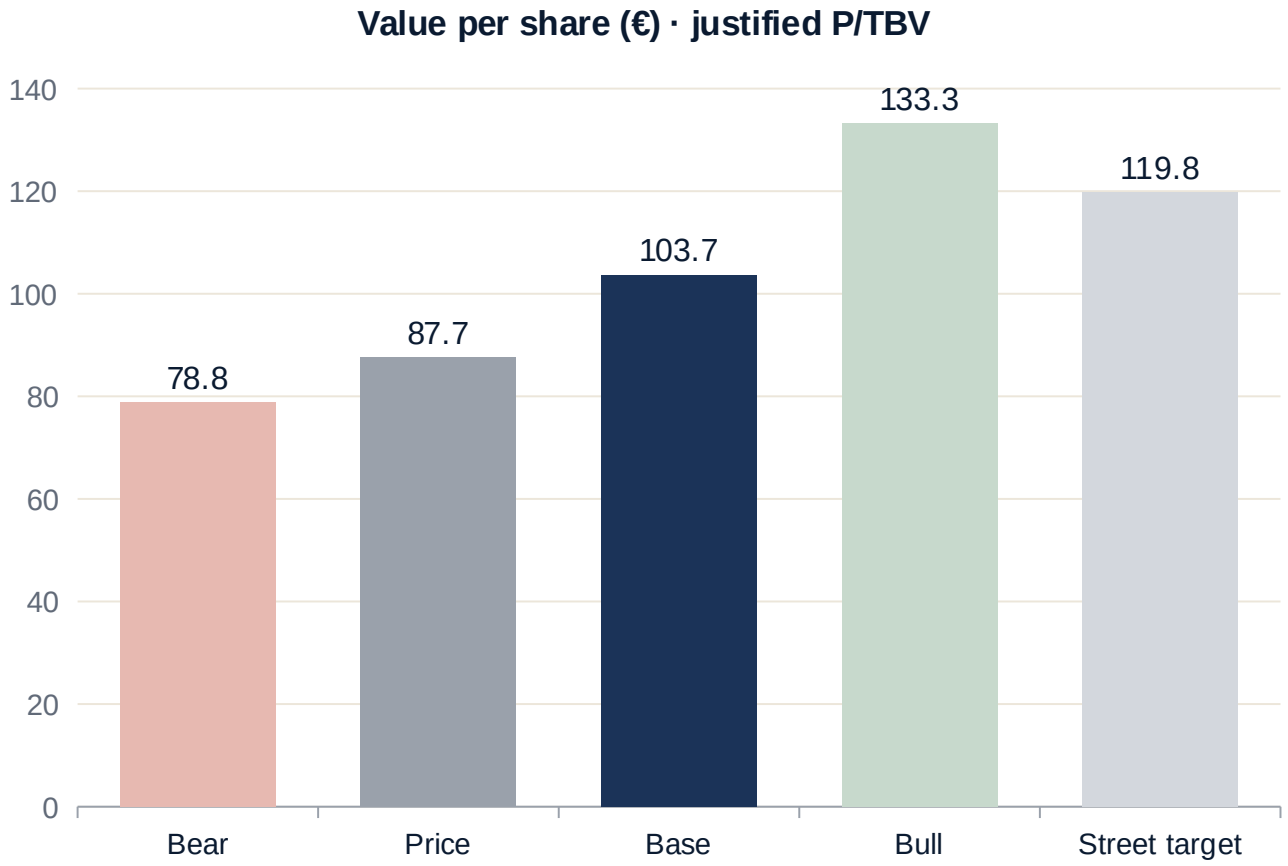
WHAT TO WATCH

2 Feb 2027

The 2030 plan: new RoTE and distribution targets. A RoTE target at 13% or above, with CET1 above 13% returned, supports the re-rating.

Source: BNP Paribas URD 2025 and Q3 2026 release. FY2024 derived from the 2025 growth rates. RoTE methodology changed in Q4 2025.

€103.7 base case: a bank earning 12% is worth more than its tangible book



HOW WE GET THERE

Justified price to tangible book

1. **Tangible book €98.5**
   €93.50 at end-2025 (URD) plus 40% of 2026E EPS retained.

2. **(RoTE − g) / (CoE − g)**
   Base: 12% RoTE, 11.5% cost of equity, 2% growth → 1.05x.

3. **Bear €78.8, bull €133.3**
   10% RoTE at 12% CoE; 13.5% RoTE at 10.5% CoE.

Source: own valuation from BNP Paribas URD 2025 and Q3 2026 release; Street target third-party (29 Oct 2026).

CATALYSTS

Four dated catalysts; the 2030 plan is the one that matters



HARD

€1.3bn buyback

About 1.4% of the market value.

HARD

BMCI sale closes

+15 bp of CET1; above 13% at year-end.

HARD

2030 strategic plan

New RoTE and distribution targets.

SOFT

Sudan appeal ruling

Second Circuit decision on the class.

The number to watch: 2026 RoTE at 12% or above, and the 2030 plan's RoTE target.

RISKS

The risks are French and legal, not operational

French sovereign stress

Diversified earnings; French bonds mostly at amortised cost (€16bn of €19bn).

Sudan litigation, unprovisioned

Appeal pending; we keep the position below the 4% cap.

Trading revenue normalises

The RoTE target is beaten even after restructuring costs.

WE CHANGE THE CALL IF

- → 2026 RoTE below 12%, or 2028 targets cut in the 2030 plan
- → CET1 below 12.5%, forcing smaller buybacks
- → An adverse Sudan ruling with a material provision

OVERWEIGHT

Base case €103.7 · +18%

A 13% RoTE bank priced as a proxy for French risk

13.2%	0.9x	2 Feb 2027
RoTE, 9M 2026	**Price / tangible book**	**Key catalyst**
target 12%	peer median 1.2x	2030 strategic plan

Questions?

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Sources and disclosures

[1] BNP Paribas, "Third quarter 2026 results" press release, Paris, 28/10/2026

[2] BNP Paribas, "4th quarter and full year 2025" results press release, 05/02/2026, via WebDisclosure

[3] Sudan litigation: BNP Paribas statement, 08/01/2026

[4] MarketScreener, BNP Paribas finances/consensus page, data 29/10/2026 (third-party market data; to be replaced by Bloomberg, Dec 2026)

[5] StockAnalysis, BNP Paribas statistics, data 29/10/2026 (third-party market data; to be replaced by Bloomberg, Dec 2026)

[6] Ideal Investisseur, BNP Paribas stock page and news feed, data 29/10/2026 (third-party market data; to be replaced by Bloomberg, Dec 2026)

[7] Trading Economics, "BNP Paribas shares hit 19-week low", 08/10/2026 (and 22/10/2026 update, market data panel) (third-party market data; to be replaced by Bloomberg, Dec 2026)

[8] BNP Paribas, 2025 Universal Registration Document and annual financial report (revalued tangible net book value per share €93.50 at 31 Dec 2025)

[9] BNP Paribas, second quarter 2026 results, conference call transcript, 23 Jul 2026

Student research by Noah Doose (MSc Financial Markets & Investments, SKEMA Business School) for educational purposes and job interviews. Not investment advice or a solicitation. Market data (prices, consensus, forward multiples) is third-party as of the date shown and will be refreshed from Bloomberg; company figures come from the filings listed. Screen data: Thoth Ledger pipeline on Bloomberg data extracted on the SKEMA terminal (Oct 2026).